

Measures in Support of Innovation

Intro

The EU Artificial Intelligence Act has an entire **chapter dedicated to measures which support innovation within AI.**

- This area of the act covers the developing, testing and validation of **AI systems** and It extends to issues.
- around personal data within these **test environments**, the testing of **particular high-risk systems**, and specific issues regarding consent in real-world testing.
- Finally, it covers the **requirements that must be met by both developers and providers** in this field, and the responsibilities, but also entitlements, of small and medium businesses, and special operators.

Articles 57: AI Regulatory Sandboxes

Term: Sandbox A sandbox **is a testing space where companies can experiment with new AI technologies in a real-world setting**, but under the oversight of regulatory authorities. “According to google search”

Purpose: **Create controlled environments** for testing innovative AI systems - Key Features:

- Real- world testing under supervision
- Exit reports to speed compliance with regulations.
- Controlled national sandboxes by the year 2026 August with cross boarder
- cooperations.

Objective:

- Foster Innovations
- Improve Legal Certainty
- Support SMEs across borders

Article 58: Measures in Support of Innovation

Purpose: To avoid fragmentation across the Union, by specifying detailed arrangements for the establishment.

Key Features:

- Supports for **SMEs and startups by reducing cost** and simplifying rules and regulations.
- Promote the use of **AI research and development**.
- **Public and private partnership** and providing funding.
- Overall, this articles set to reduce the barriers for startups and SMEs and promote
- **cross- border collaboration** by building trustworthy AI ecosystems.

Article 59:

In an **AI regulatory sandbox**, personal data may be used for developing, testing, and training AI systems under specific conditions:

- **Purpose:** Data to be used and developed AI systems for public interest in many areas like public health, environment, energy sustainability and more.
- **Data necessity:** Only necessary data must be collected.
- **Risk management:** Must be monitored and quick response to address any risks of freedom to individuals or rights.
- **Data protection:** Personal data must be processed in a safe and isolated environment with restricted access to mitigate risks such leaks.
- **Data sharing:** Personal data must follow data protection laws and share only in the sandbox enrolment.
- **Impact on individuals:** Must not take any impact on individuals.
- **Data retention:** Data should be protected and deleted after the sandbox period.
- **Documentation:** Detailed records must be kept on the testing and development process, and the AI project must be summarized publicly (with exceptions for sensitive data).
- **Law enforcement:** For law enforcement use, has an specific legal conditions.

Article 60:

In summary, this regulation allows for **testing high-risk AI systems** in real-world conditions outside of regulatory sandboxes, subject to several conditions:

Real-world testing plan: Testing plan to the market to be approved (taking up to 30 days).

Conditions for testing:

Testing duration: **No more than 6 months** – can **be extended for another 6**.

Ethical considerations: Comply and protect vulnerable groups.

Data protection: Data must be protected especially if it is going to be handled in third country.

Oversight and responsibility: Testing must be checked by a professional.

Right to withdraw: **Test can be withdrawn at any time without penalty** and request deletion of their data.

Market surveillance: Authorities have the power to **conduct inspections**.

Incident reporting: Any serious **incidents** during testing must be reported.

Liability: Providers are liable for any damages caused during test.

For the purpose of testing in real world conditions under Article 60, freely-given informed consent

shall be obtained from the subjects of testing prior to their participation in such testing and after

their having been duly informed with concise, clear, relevant, and understandable information

The informed consent shall be dated and documented and a copy shall be given to the subjects of testing or their legal representative.

Article 62

Member states will be required to undertake the following:

- Provide smaller businesses, including startups, with priority access to the regulated testing environments.

- Organise specific training to meet the needs of these businesses and other developers.

- Provide either existing, or new, dedicated channels for these businesses in order to provide them with advice and respond to queries about the implementation of the act.

- Provide them with the facility and opportunity to take part in the standardisation development process

The specific interests and needs of the SME providers, including start-ups, shall be taken into account when setting the fees for conformity assessment under Article 43, reducing those fees proportionately to their size, market size and other relevant indicators.

Article 63

The final article of the chapter covers derogations for are deemed specific operators.

Under this article, only businesses defined as microenterprises [with a reference to another EU

regulation which defines this type of business] are mentioned as a specific operator.

This lays out certain elements of the act which they are permitted to comply with in a simplified manner compared to other businesses, developers and providers.